

The Discount Trap: How Discounts Impact Retail Profitability

A Power BI Analysis of Discount-Driven Profit Leakage and Profitability Improvement Opportunities

BUSINESS PROBLEM

A retail company generates strong sales revenue but is concerned that its discount strategy may be reducing overall profitability. Management lacks visibility into how discount levels affect profit across product categories and sub-categories, making it difficult to identify where profit leakage occurs and which areas require corrective action. The company needs an analytics solution to evaluate the relationship between discounts and profitability and support better pricing decisions.

EXECUTIVE OVERVIEW

Total Sales
\$2.30M

Total Profit
\$286.40K

Profit Margin
12.47%

Average Discount
15.62%

Order Count
5009

Loss Making Orders
37.35%

Year

2014

2015

2016

2017

Product Category

Category ▼

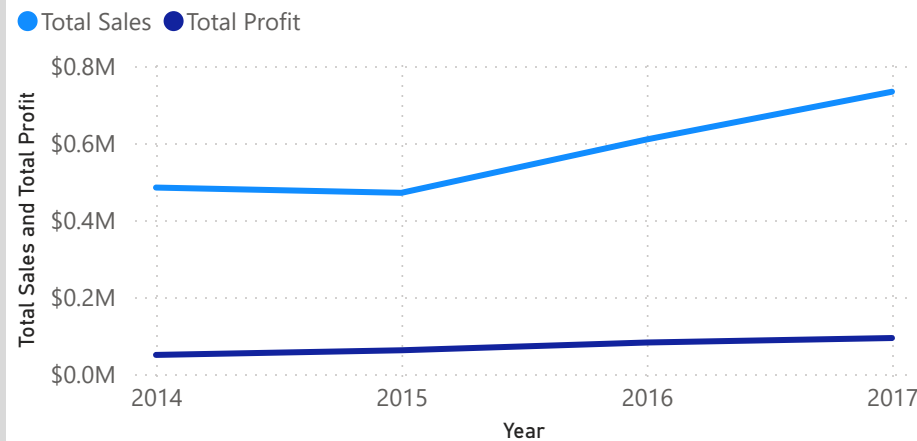
- ☐ Furniture
- ☐ Office Supplies
- ☐ Technology

Customer Segment

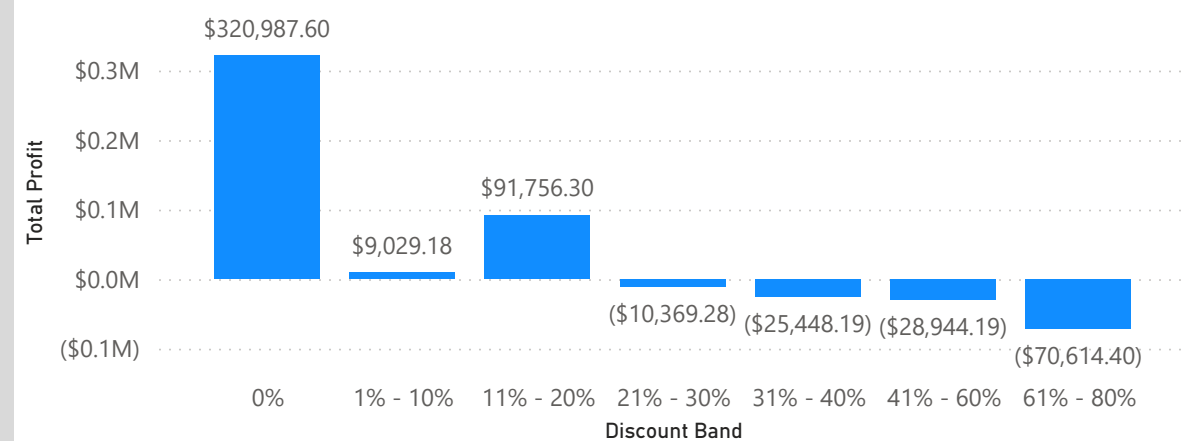
Customer Segment ▼

- ☐ Consumer
- ☐ Corporate
- ☐ Home Office

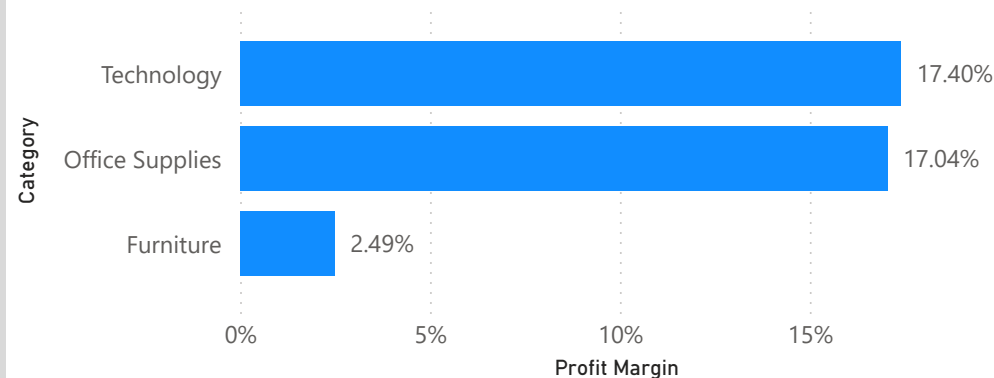
Sales and Profit Trend Over Time



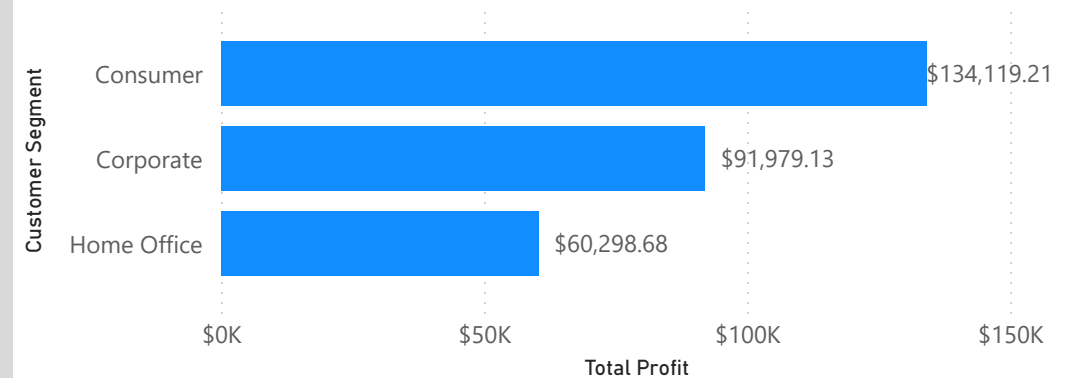
Discount Impact on Profit



Profit Margin by Product Category

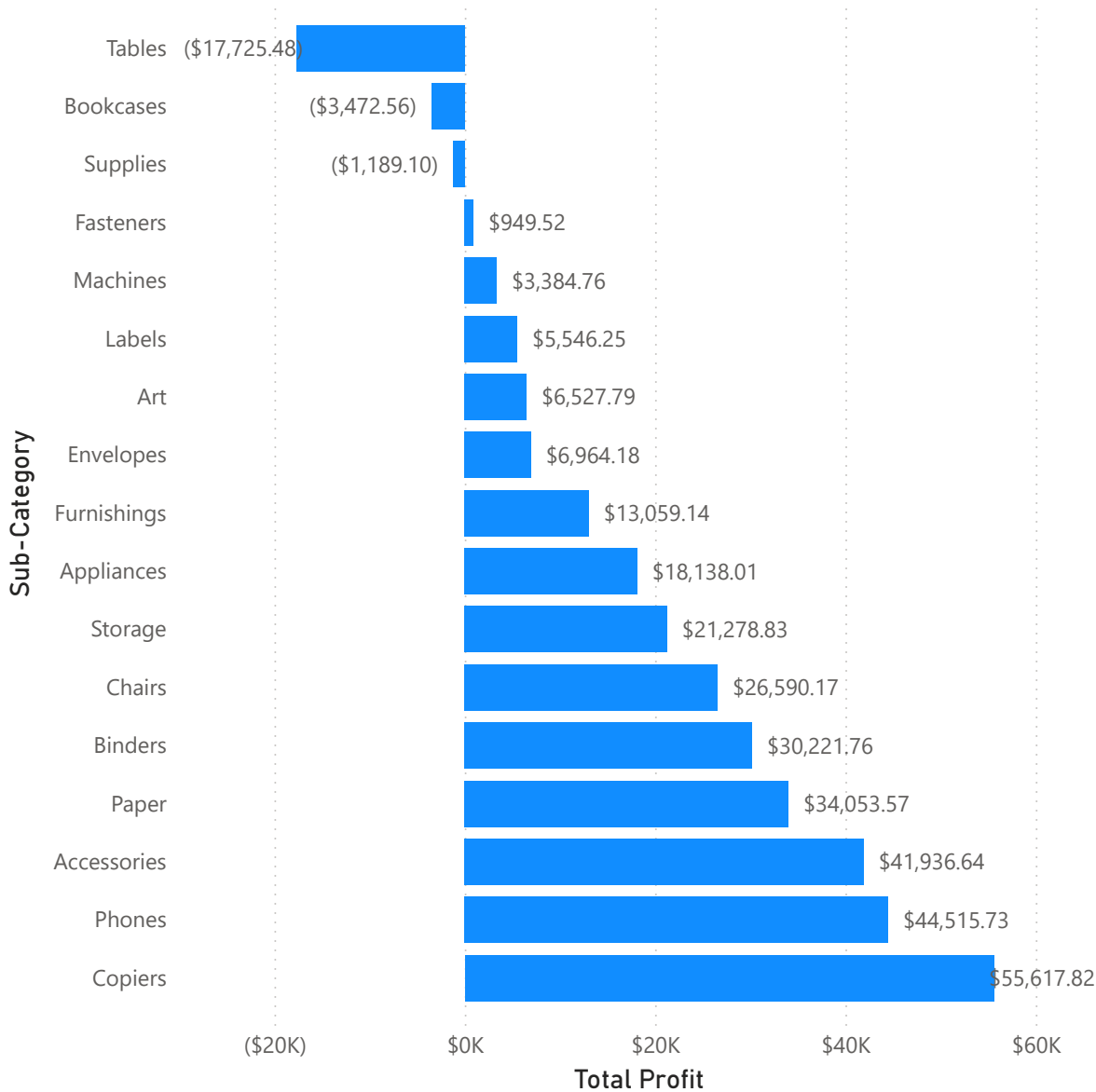


Total Profit by Customer Segment

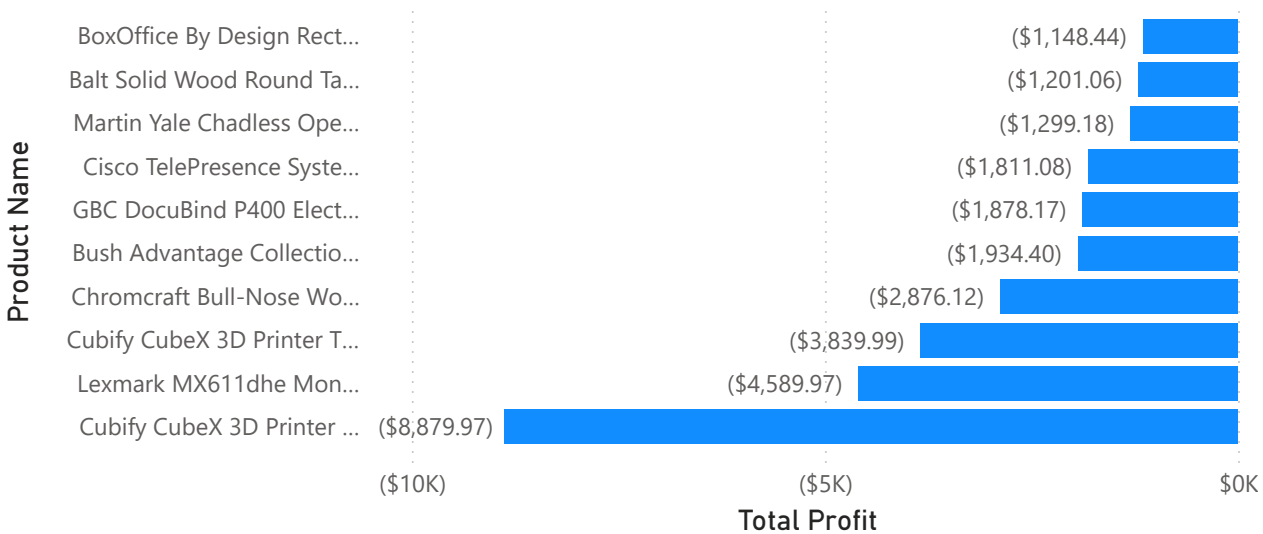


PROFIT LEAKAGE ANALYSIS

Total Profit by Product Sub-Categories



Products Generating the Largest Losses

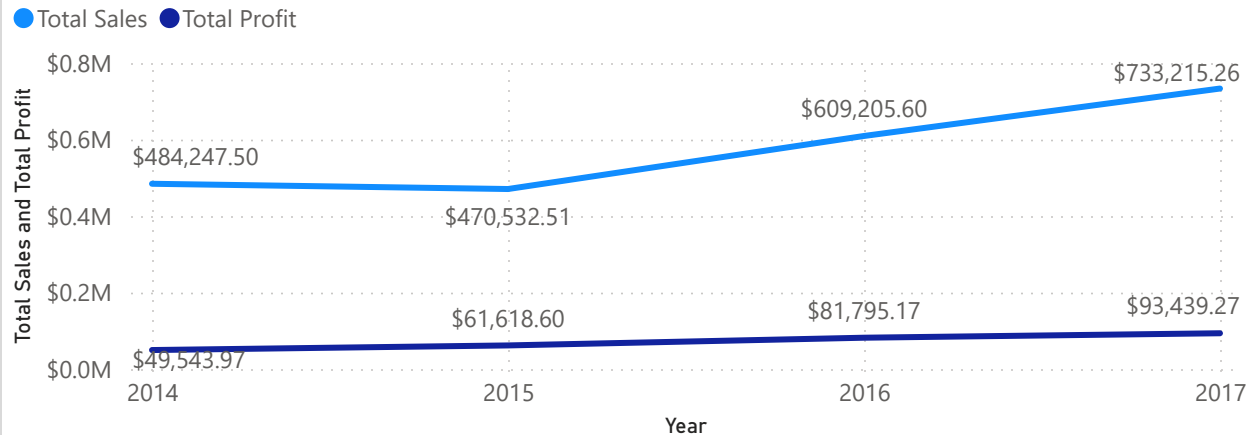


Key Observation:

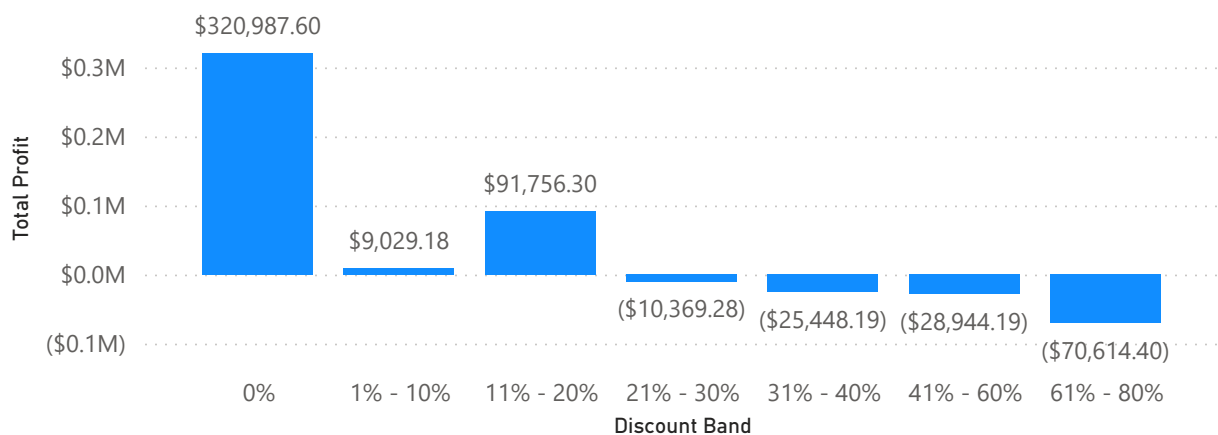
- Tables and Bookcases are the largest contributors to profit leakage.
- These sub-categories belong to Furniture, which has the lowest profit margin among all product categories.
- Management should review pricing strategies and discount policies for these products to improve profitability.

KEY INSIGHTS AND FINDINGS

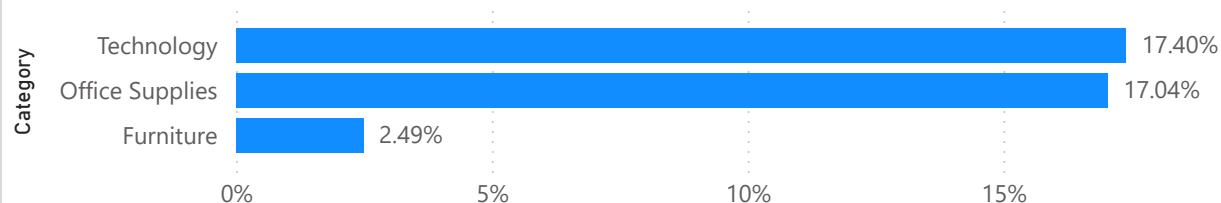
Strong sales growth is not translating into equally strong profitability.



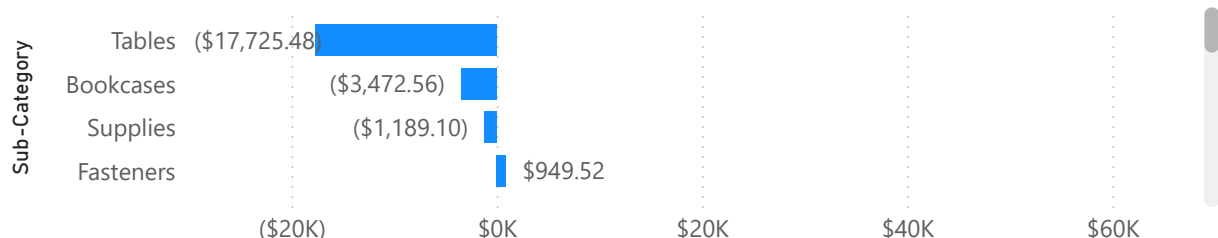
Discounts above 20% are associated with negative profit.



Furniture generates significantly lower profit margins than other product categories.



Tables and Bookcases are major sources of profit leakage.



Despite generating strong sales revenue, the business converts only a small portion into profit, resulting in an overall profit margin of approximately 12.5%.

Orders with discounts above approximately 20% showed a clear decline in profitability, with the highest discount bands generating negative total profit.

Furniture delivered significantly lower profit margins than Technology and Office Supplies, suggesting that pricing and discount strategies should be reassessed.

Tables and Bookcases are the primary contributors to profit leakage, making them priority areas for management review and corrective action.

RECOMMENDATIONS AND NEXT STEPS

Review and limit high discount levels. Discounts above approximately 20% are associated with declining profitability and should be applied selectively.

Prioritize improvements for Tables and Bookcases. These Products sub-categories contribute disproportionately to profit leakage and should be reviewed for pricing, promotions, and sales strategy.

Reassess the Furniture product category strategy. Its significantly lower profit margin suggests a need to optimize pricing, discount policies, or product mix.

Use discounts strategically. Apply promotions where they support both sales and profitability, rather than relying on deep discounts to drive revenue alone.

Monitor profitability continuously through dashboards. Track discount levels, profit margins, and product performance regularly to identify issues early and support data-driven pricing decisions.

CONCLUSION

This analysis shows that while the company generates strong sales revenue, high discount levels and underperforming product categories reduce overall profitability. In particular, Furniture, and especially the Tables and Bookcases sub-categories accounts for a significant share of profit leakage. By adopting a more strategic discounting approach and focusing on the products driving losses, management can improve profit margins while maintaining sustainable sales growth.